



ETH

ULTRA SOUND MONEY

Ethereum's Post-Merge Supply Dynamics
& Monetary Premium

121.6M ETH

Current Supply

\$2,243

ETH Price (USD)

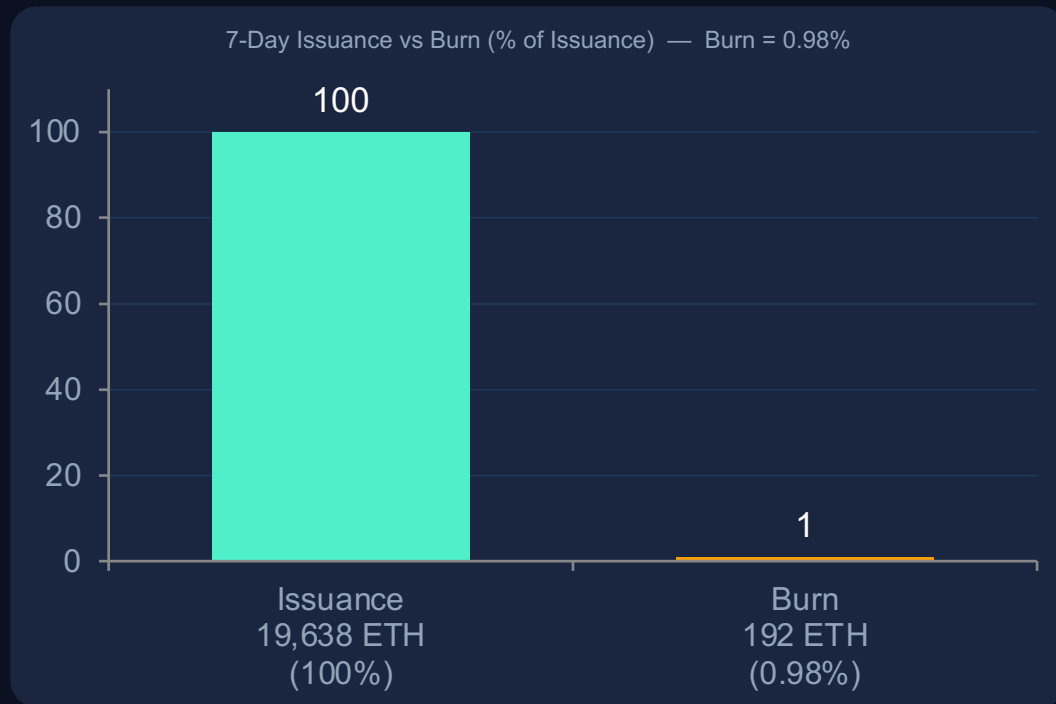
0.1 Gwei

Avg Base Gas

A data-driven analysis of ETH's deflationary mechanics, burn/issuance dynamics, staking economics, and the long-run 'ultra sound money' thesis.

For crypto-native investors and Ethereum ecosystem participants evaluating ETH as a monetary asset

ETH Supply Growing +0.83%/yr — Burn Offsets Only ~1% of Issuance (7-Day)

**19,638 ETH**

7-Day Issuance

192 ETH

7-Day Burn

0.01x

Burn Offset Ratio

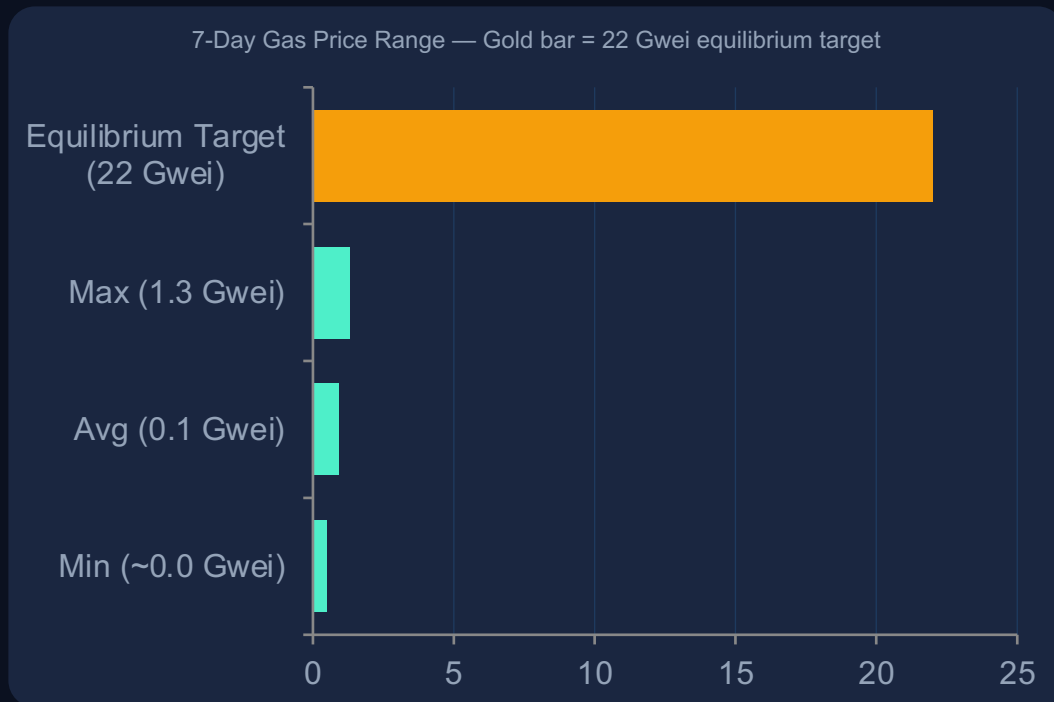
121.6M ETH

Total Supply

+0.83%/yr

Annual Growth Rate

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn



EIP-1559 Mechanism

Base fee burned on every tx. Higher activity → higher burn → deflation potential.

Current Avg Gas

0.1 Gwei (7-day avg). Min: 0.0 Gwei, Max: 1.3 Gwei. Near all-time lows.

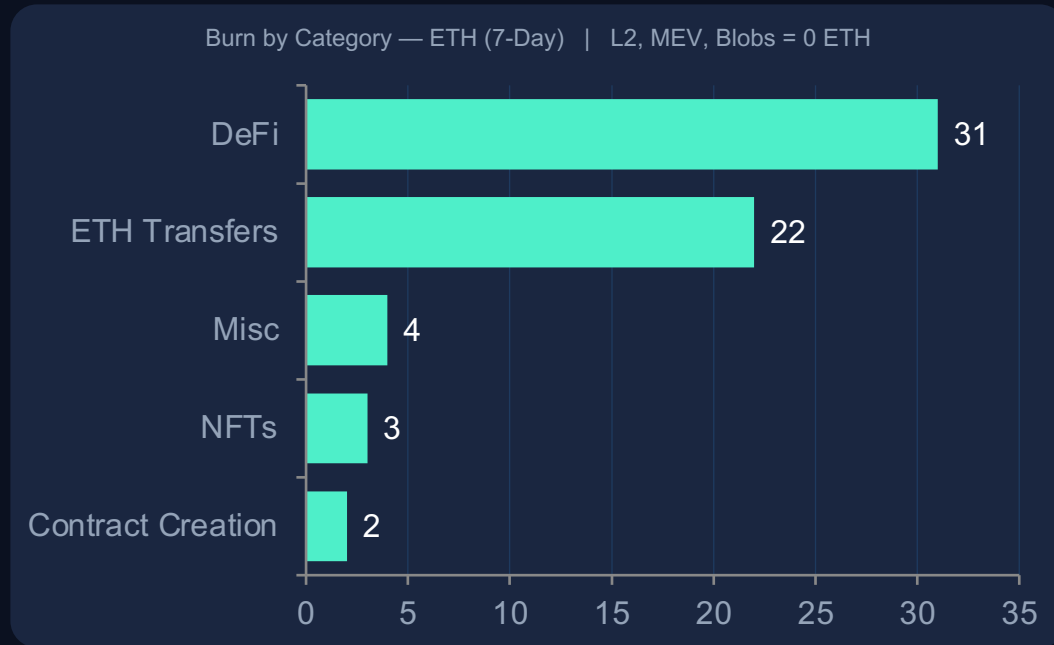
Blob Fees (EIP-4844)

Only 0.15 ETH (~\$319) in blob fees burned over 7 days.
Avg blob gas: 7,144,934 wei.

Equilibrium Requires

Sustained ~22 Gwei avg to balance issuance with burn at ~1,037K ETH/year.

DeFi & ETH Transfers Drive ~85% of 192 ETH in Weekly Fee Burn



TOP CONTRIBUTORS (7-DAY)

ETH Transfers
7-day fee burn **21.74 ETH**

Tether USDT
7-day fee burn **13.55 ETH**

DeFi (total)
7-day fee burn **~31 ETH**

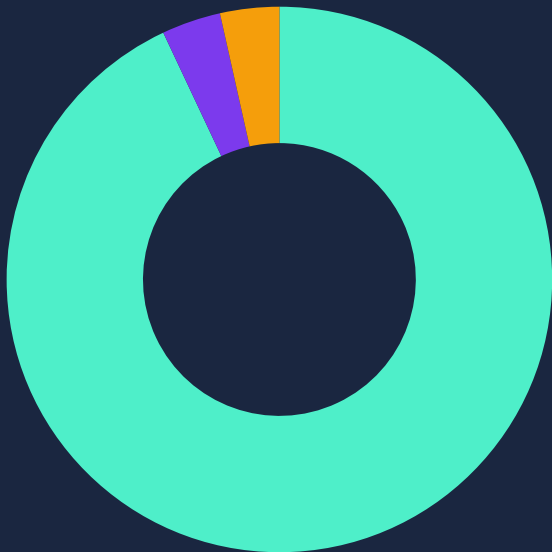
NFT Contracts
7-day fee burn **~3 ETH**

Per-Block Max
7-day fee burn **0.07 ETH**

Burn categories: L2, MEV, and Blob fees each contributed 0 ETH over the trailing 7 days. Total burn: ~192 ETH.

38.9M ETH Staked — Validators Earn 2.7% APR Primarily from Issuance

Validator Reward Composition (% of 2.9% Total APR)



■ Issuance (2.7% APR) ■ Tips (0.1% APR) ■ MEV Est. (0.1% APR)

38.9M ETH

Total Staked (~32% of supply)

9.1M ETH

Locked in Staking Contracts

10.7 Years

Avg Staking Lock Duration

~2,800 ETH/day

PoS Issuance Rate

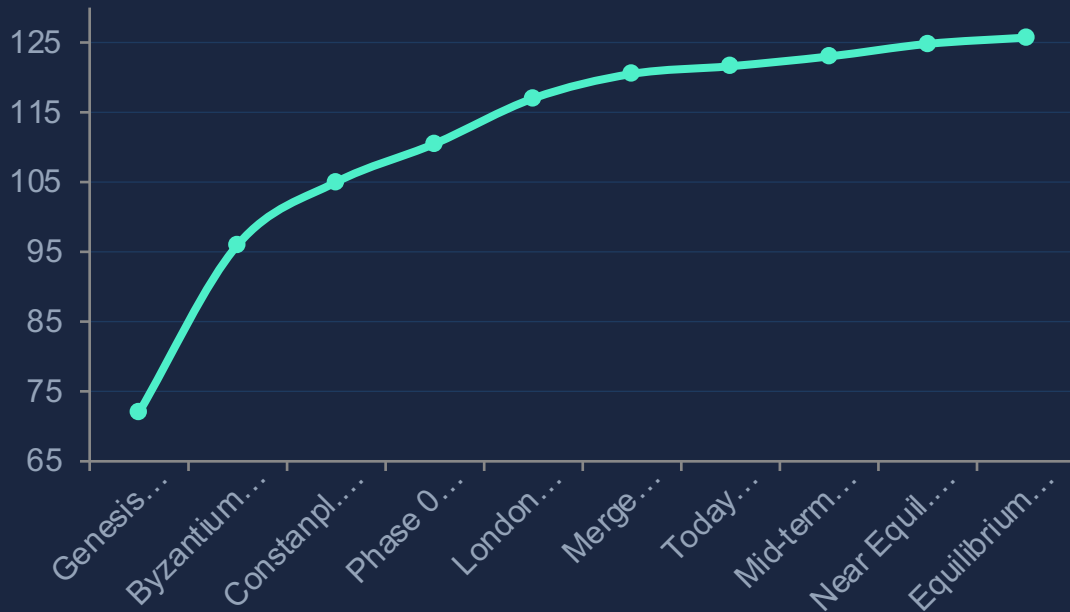
~2.9% APR

Total Validator Annual Return

Issuance rewards dominate validator income (93% of APR). Tips and MEV are negligible at current gas levels (0.1 + 0.1 = 0.2%).

Long-Term Supply Converges to 125.7M ETH Equilibrium (22 Gwei Assumption)

ETH Supply (M) — Historical Eras → 200-Year Projection



PROJECTION PARAMETERS

125.7M ETH

Supply Equilibrium

22 Gwei

Required Avg Gas for Balance

39M ETH

Staked ETH Assumption

1,037K ETH/yr

Issuance = Burn at Equilibrium

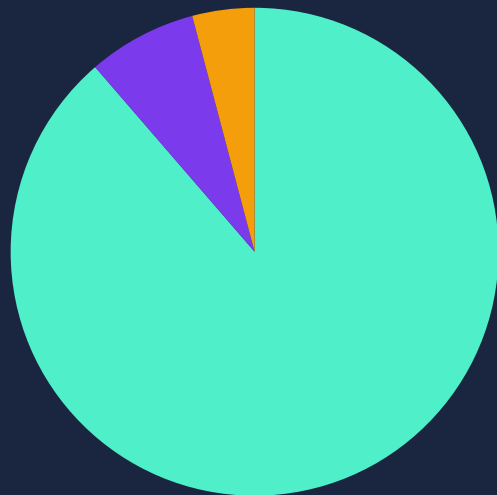
2.7% / 1.2%

Staker Issuance / Non-staker Burn

At 0.1 Gwei avg gas, burn covers ~1% of issuance. Sustained 22 Gwei required to balance supply at 125.7M ETH equilibrium.

ETH at 18.7% of Bitcoin's Market Cap, Securing \$307B+ in Total Value

Total Value Secured on Ethereum (\$307.63B)



■ ETH Native \$272.76B ■ ERC20 Tokens \$22.21B ■ NFTs \$12.66B

FLIPPENING PROGRESS

18.70% of Bitcoin's Market Cap

1.30% of USD (M2)

0.89% of Gold Market Cap

TOP ERC20s BY VALUE

Dai

\$4.41B CryptoPunks

Shiba Inu

\$3.51B BAYC

Cronos

\$2.97B ENS

Tether Gold

\$2.65B Pudgy Penguins

TOP NFTs BY VALUE

\$2.13B

\$0.68B

\$0.63B

\$0.51B

Ultra Sound Money: Thesis Intact — Gas Activity Is the Critical Variable

01

Currently Mildly Inflationary (+0.83%/yr)

0.1 Gwei avg gas suppresses burn to 192 ETH/week — just ~1% of 19,638 ETH issued. Cyclical, not structural.

02

Burn Mechanism Works — Activity Drives It

EIP-1559 is intact. DeFi + ETH transfers = 85% of burns. Sustained 22 Gwei → deflationary supply.

03

38.9M ETH Staked Creates Structural Scarcity

32% of supply staked, 9.1M ETH locked for avg 10.7 years. Supply removal supports monetary narrative.

04

125.7M ETH Equilibrium Is Structurally Sound

200-yr model converges at 125.7M with 1,037K ETH/yr balanced. Credible given historical on-chain patterns.

05

\$307B+ TVS & 18.7% Flipping

Ethereum secures more value than any smart contract platform. Growing premium vs BTC, gold (0.89%), USD (1.30%).

06

Gas Activity Is the Catalyst

Ultra sound money thesis holds structurally. Gas recovery from 0.1 → 22 Gwei is what completes the deflationary turn.